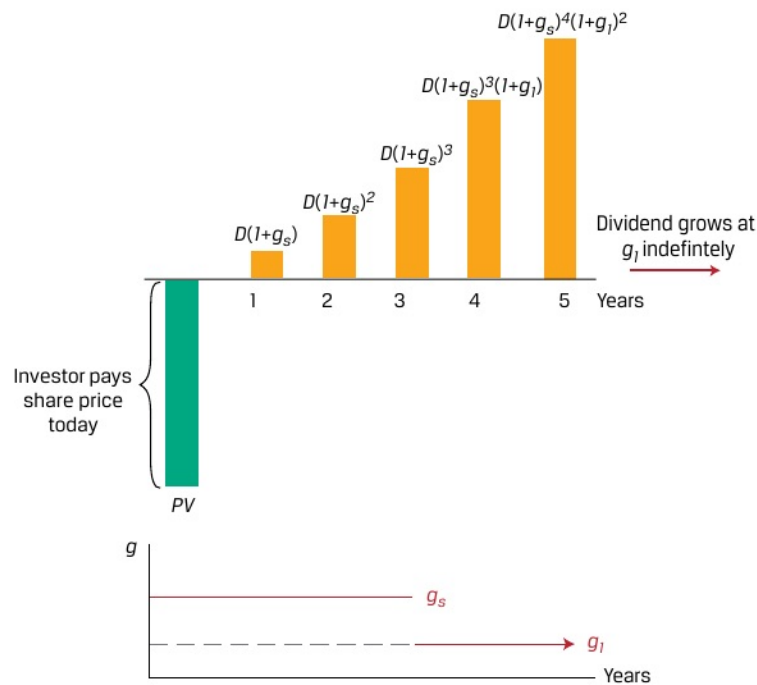


Exhibit 6: Equity Cash Flows with Two-Stage Dividend Growth



The example in Exhibit 6 shows a company with an initial higher short-term dividend growth of g_s for the first three years, followed by lower long-term growth (g_l , where $g_s > g_l$) indefinitely thereafter. If we generalize the initial growth phase to n periods followed by indefinite slower growth at g_l , we obtain a modified version of Equation 14 as follows:

$$PV_t = \sum_{i=1}^n \frac{D_t(1+g_s)^i}{(1+r)^i} + \sum_{j=n+1}^{\infty} \frac{D_{t+n}(1+g_l)^j}{(1+r)^j}. \quad (15)$$

Note that the second expression in Equation 15 involves constant growth starting in n periods, for which we can substitute the geometric series simplification:

$$PV_t = \sum_{i=1}^n \frac{D_t(1+g_s)^i}{(1+r)^i} + \frac{E(S_{t+n})}{(1+r)^n}, \quad (16)$$

where the stock value of the stock in n periods ($E(S_{t+n})$ is referred to as the **terminal value**) and is equal to the following:

$$E(S_{t+n}) = \frac{D_{t+n+1}}{r - g_l}. \quad (17)$$

We revisit the Shipline PLC stock price example to evaluate the effects of constant dividend, constant dividend growth and changing dividend growth assumptions on a company's expected share price.

EXAMPLE 7

Constant and Changing Dividend Growth

Recall that based on a constant GBP1.50 annual dividend and required return of 15 percent, we showed Shipline PLC's expected stock price to be GBP10.00. Suppose instead that an investment analyst assumes that Shipline will grow its annual dividend by 6 percent per year indefinitely.